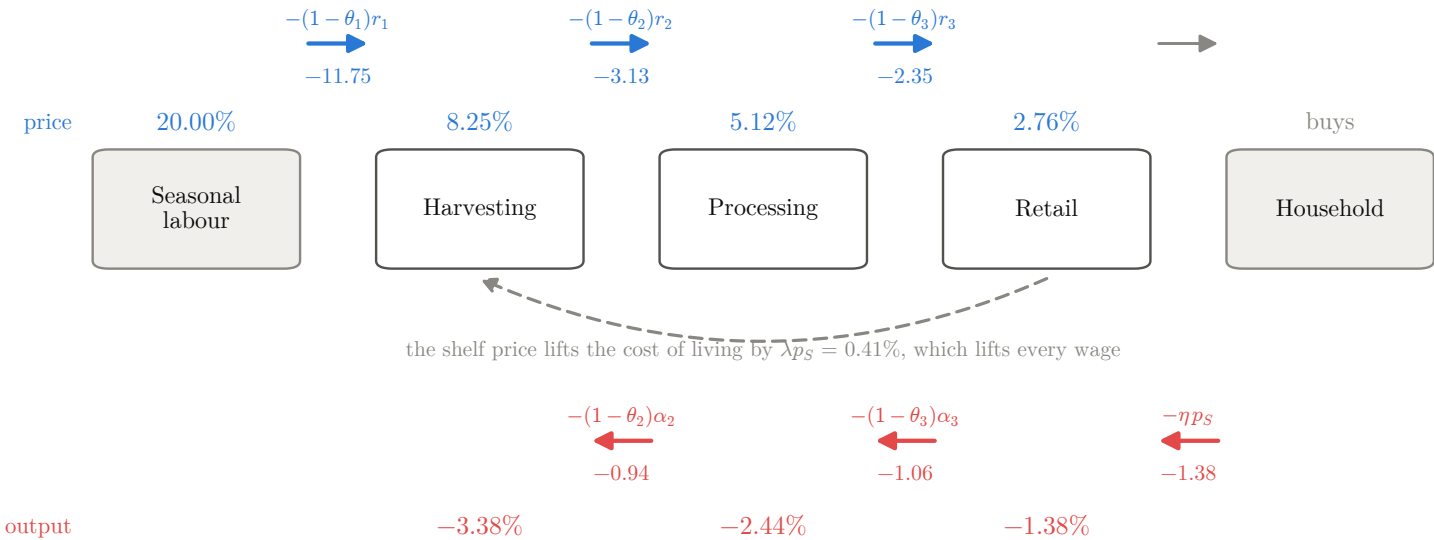


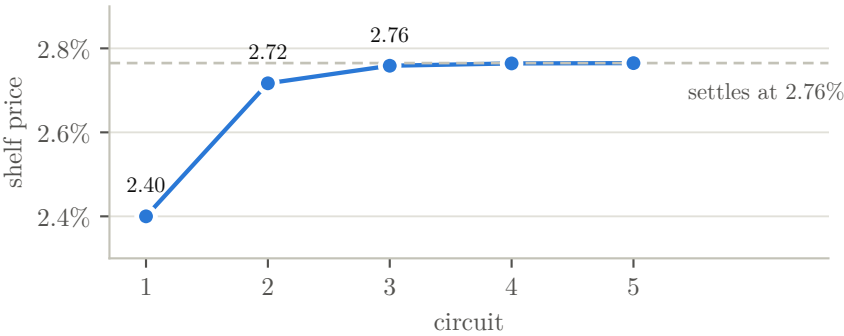
How the example solves itself

Prices fall along the chain by $(1 - \theta_s)r_s$ at each step. Only the price pass feeds back on itself; output is then cut by $(1 - \theta_s)\alpha_s$ at each step coming back.

The price pass. Down the chain, and it repeats.



The quantity pass. Back up it, once, at the end.



The shelf price lifts wages, so the price pass runs again. Each pass is 13.2 percent of the one before, so they sum to a multiplier of 1.152 and the shelf price settles at 2.76 percent.

Source: the model of Section 4, calibrated in Section 5. Supply of each stage's own inputs is perfectly elastic, so the wage does not depend on how many are hired and quantities do not feed back.